MERCANTAIL

A Pet-Themed Merge-2 Mobile Game Concept

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$1.4B	+82%	$2.76
Merge genre revenue 2025	**YoY growth — fastest casual**	**Revenue per download 2025**
AppMagic 2025	AppMagic 2025	derived from data

Sources: AppMagic Casual Games Report H1 2025 · Sensor Tower

	What this document covers
1	Market signal — why Merge-2 is the standout growth story in casual gaming
2	Competitor landscape — who is winning, why, and where the gaps are
3	Strategic fit — why this genre suits studios building for retention over content volume
4	Concept and prototype — Mercantail: what it is, who it is for, core loop, prototype scope
5	Playtest results — n=10 sessions, 5,393 events, key findings and hypotheses
6	Metrics and roadmap — KPIs, A/B tests, economy design, Now/Next/Later plan
7	Asset & Links

Prototype built in HTML/CSS/JS. See full interactive demo → Play the prototype

Market Signal

The Market in One Table

Metric	2024	2025	Change
Global mobile game downloads	54.3B	50.4B	–7.2% YoY
Global IAP revenue (games)	$80.7B	$81.7B	+1.3% YoY
Average revenue per download	$1.49	$1.62	+8.7% YoY

Source: Sensor Tower State of Gaming 2026

> Downloads are falling — but revenue is holding. Players who stay are spending more per session, per install, and per year. The market has shifted from volume acquisition to lifetime value. For a new title entering in 2026, that's not a headwind — it's the brief: build for retention first.

Merge-2 vs Match-3: Two Very Different Trajectories

Subgenre	Revenue 2025	Downloads 2025	Rev/Download	YoY Revenue	YoY Downloads	Trend
Merge-2	$1.4B	507M	$2.76	+82%	+35%	**Accelerating**
Match-3	$4.8B	811M	$5.92	–0.1%	–8%	Maturing — flat revenue

Rev/download derived from revenue ÷ downloads. Source: AppMagic Casual Games Report 2025.

> *Match-3's higher rev/download reflects a mature market with years of monetisation optimisation locked in the top titles. Merge-2's figure reflects a genre still in expansion — the gap is an opportunity, not a ceiling.*

Why This Opportunity Is Still Open

Signal	What it means
Gossip Harbor holds 33% of Merge-2 revenue — built through sustained LiveOps scaling from 20 to 100+ monthly events (AppMagic 2025)	Concentration at the top is an execution story, not a concept barrier. The gap between top titles and the rest is a LiveOps gap — which widens gradually, not overnight.
6 of 225 new Merge-2 titles crossed $100K/month in 2025 (AppMagic 2025)	The barrier to entry is high — but the market is not closed. The genre is still growing at +82% YoY while most new entrants fail to scale.

Source: AppMagic Casual Games Report 2025

Competitor Landscape

Top Titles by Revenue — 2025

The top titles share one meta layer formula. The question is whether there's a second path, and whether Mercantail is it.

Title	Publisher	H1 2025 Revenue	Key Meta Layer	Retention Driver
Gossip Harbor	Microfun	$224M	Mystery narrative + 500+ events/yr	Episodic story + 60–100 LiveOps events/month
Travel Town	Magmatic	$122M	Task adventure + social competition	Productivity loop + social competition
Merge Mansion	Metacore	$62M	Narrative-driven restoration	Long-horizon project investment
Seaside Escape	Microfun	$107M	Decoration + inventory mgmt	Aesthetic ownership + collection depth

Revenue figures reflect H1 2025 (AppMagic). Full-year data is not accessible — figures are directional and used for relative positioning, not absolute benchmarking.

What the Winners Do Differently

Differentiator	Evidence	Implication for Mercantail
LiveOps density drives revenue	Gossip Harbor scaled from ~20 to ~95–100 live events/month between late 2023 and Q3–Q4 2025 (AppMagic). Merge Mansion's monthly event frequency grew from ~10–12 to ~35–40 over the same period — revenue tracked the same arc, from ~$8M to a ~$12.5M peak (Gamerbraves, citing AppMagic).	The leading model requires sustained content volume at scale. Mercantail's starting point is seasonal LiveOps — lower operational overhead, with density increasing as the team and live data scale.
Persistent meta anchors the reason to return	Gossip Harbor: episodic mystery narrative. Merge Mansion: long-horizon restoration project. Travel Town: productivity-mirroring task economy. Each gives players a reason to return that exists outside the merge board.	Mercantail's meta layer serves the same retention function. Whether that's a pet evolution arc or a story progression layer is the core A/B test — the hypothesis is that anchoring meta rewards directly to order fulfillment produces stronger D7/D30 retention than deferred narrative progression.

Where the Gaps Are

Gap	What exists	What is missing
Pet/creature theme in Merge-2 with a meta layer	Hyper-casual pet merge titles (ad-driven, shallow loop) and Merge-3 creature collectors such as Merge Dragons — neither appears in the Merge-2 top titles by revenue (AppMagic H1 2025)	A Merge-2 title built around pet identity as the long-horizon retention anchor — where the merge board and the meta layer are the same loop, not separate systems
A second path to retention that isn't LiveOps-dependent	Top titles sustain D30 through high event density — Gossip Harbor at ~95–100 events/month, Travel Town and Seaside Escape at comparable scale (Gamerbraves, citing AppMagic)	A title designed to earn retention through mechanic depth and meta investment, with seasonal LiveOps that can grow with the product — rather than requiring event volume from day one

Strategic Fit

> The merge genre's barrier to entry is a LiveOps intensity barrier, not a concept barrier. The question is whether there is a version that fits a studio's build philosophy.

Why This Design Approach Fits the Market

Design Principle	Why It's the Right Response to This Market
Mechanic depth over content volume	The leading Merge-2 titles sustain retention through high LiveOps density — Gossip Harbor at ~95–100 events/month (AppMagic). That model scales with team size. An alternative path is building retention into the mechanic itself: economy decisions, evolution pacing, and energy management create replayability without a content pipeline.
Data-driven iteration as the growth lever	With mobile downloads declining 7.2% YoY and acquisition costs rising, retention and economy calibration matter more than launch volume (Sensor Tower 2026). A/B testing onboarding format and meta layer direction before committing to full production is the lower-risk path to validating D7/D30 benchmarks.
Habit formation built into session structure	Merge-2's energy-gated sessions create a natural daily return trigger — a predictable, completable loop with a visible progression arc. This session structure is the retention mechanism, not an add-on to it.
Monetisation through engagement, not interruption	The energy refill mechanic creates spend moments at natural friction points. Players spend to continue progress, not to recover from failure. Rewarded ads provide a non-IAP revenue layer that serves non-spenders without undermining the soft paywall.

Why Now

Market Signal	Implication
Merge-2 revenue reached $1.4B in 2025, up 82% YoY (AppMagic)	The genre is still in accelerating growth. Entry in 2026 is early, not late.
Gossip Harbor generated $224M in H1 2025 — nearly 2x Travel Town at $122M (AppMagic H1 2025)	The gap between the top title and the rest is large but was built through sustained LiveOps scaling, not first-mover lock-in. The genre is not yet consolidated the way Match-3 is.
Revenue per download: $2.76 vs Match-3's $5.92 (AppMagic, derived)	Merge-2's monetisation is still maturing. The gap to Match-3 is an opportunity, not a ceiling.
No Merge-2 title with pet/creature identity anchored to an order fulfillment economy in the current top titles (AppMagic H1 2025)	The specific design space Mercantail occupies has no established incumbent. The risk is execution, not timing.

Concept & Prototype

The Concept: Mercantail

Mercantail is a mobile-first Merge-2 game in which players run a pet-themed market stall. Leading Merge-2 titles gate narrative content behind fulfillment — the next story chapter, the next renovation stage. Mercantail's hypothesis is that a personal, persistent identity investment produces stronger D7/D30 retention than content that gets consumed and replaced. Games built around emotional attachment to a companion or space — Animal Crossing, Stardew Valley — demonstrate that this dynamic can drive long-term retention without a content pipeline. The question is whether the same applies in a mobile merge context. That's what the next build phase tests, with pet evolution arc against story progression as the two variants.

Target Player

Demographics	Women 25–45, casual mobile gamers, 15–30 min/day play window. Inferred from the core Merge-2 audience — Gossip Harbor's mystery/drama positioning and cosy sim comparables consistently index toward this demographic.
Psychographics	Completion-motivated, respond to visible progress, emotionally attach to characters — consistent with the behaviour patterns that make order fulfillment and pet evolution loops intrinsically motivating.
Existing behaviour	Players of Gossip Harbor, Merge Mansion, or cosy sim games. Familiarity with energy-gated sessions and visible progression arcs.
Key need	A game that respects session length, rewards consistency, and gives them something to come back to.

Full Concept Core Loop

Layer	Loop
Session loop	Spawn item → Merge → Fulfill order → Earn Gold → Manage energy → Repeat
Meta loop	Fulfill orders → Earn meta rewards → Pet evolves or story progresses (A/B test) → Deepens identity investment → Drives D7/D30 return

The tension in each session: do you evolve an item for a high-value order, or sell lower-tier items to refill energy now?

Full Concept Design

Feature	Description	Status
Pet evolution arc	Pets hatch, evolve, and become permanently visible in the park as fulfillment milestones are reached. Evolution mechanic direction (evolution/story) to be validated via A/B test.	Designed, not built
Park building	Places unlock as pets evolve — giving players a persistent, visible space that deepens identity investment over time.	Designed, not built
Async social layer	Visit friends' parks, help fulfill their orders, send gifts. Drives D7 return without real-time infrastructure.	Designed, not built
LiveOps events	Seasonal delivery challenges, limited-time decor items, community milestones. Starting cadence: seasonal, scaling with live data.	Designed, not built
Rewarded ads for powerups	One rewarded ad per session unlocks a short-duration boost — unlimited energy, instant order fulfill, or 2x gold. Non-IAP revenue layer for non-spenders.	Designed, not built

Prototype Scope

The prototype deliberately excludes the meta layer. This is a product decision, not a production gap. If players disengage during the core merge-and-fulfill loop, adding a meta layer won't fix it. The prototype tests one specific hypothesis: is the merge-and-fulfill session loop intrinsically motivating enough to hold attention without a meta layer? The playtest data answers this before committing to full production scope.

What Is Built in the Prototype

Feature	Description
Merge board	5×6 grid (30 cells). Tap-to-select, tap-to-merge. No drag-and-drop — designed for one-handed mobile play.
4 item evolution trees	Greens, Sprouts, Seafood, Meats — each with 5 tiers. Players can inspect full evolution path via in-game modal.
Order system	3 rotating customer orders. Specifies required item and Gold reward. Fulfilled orders refresh automatically.
Energy system	Each spawn costs 1 Energy. When energy hits zero, player is gated to the Shop — the natural soft-paywall moment.
Gold economy	Earned by fulfilling orders. Spent to refill energy (100 Gold → +10 Energy).
Shop	Triggered at energy = 0. Energy refill, Gold purchase simulation. Pearl (hard currency) IAP layer is designed but not yet implemented.
In-game event logger	Embedded dev logger used in P08 playtest sessions — capturing item paths, decimal timestamps, and full economy state automatically.
Mobile-first UX	Max-width 430px, locked orientation, safe-area insets, toast notifications, particle animations on merge/order events.

Playtest Results

n=10 sessions · 5,393 events logged · ~114 minutes total play · March 2026 · Convenience sample · Findings are directional, not statistically conclusive.

Session Summary

Session	Player	Session Length	Events	Items Spawned	Items Merged	Orders Fulfilled	Energy Refilled	Merge Ratio	Max Tier
S01	P01	2m 5s	63	34	16	8	2	0.47	3
S02	P02	3m 14s	64	34	20	3	2	0.59	4
S03	P03	0m 49s	16	13	0	2	0	0.00	1
S04	P04	8m 34s	414	180	123	47	25	0.68	4
S05	P05	14m 47s	632	289	235	37	32	0.81	5
S06	P06	9m 26s	453	224	149	39	17	0.67	5
S07	P07	14m 59s	520	247	179	39	21	0.72	5
S08 *	P08	30m 29s	1,560	705	560	128	69	0.79	5
S09	P02	2m 32s	68	30	26	4	3	0.87	5
S10 *	P08	27m 27s	1,601	719	562	144	70	0.78	5

* Embedded in-game logger sessions (P08). Max tier confirmed via video review for all sessions.

Player Funnel

Funnel Stage	Count	% Sessions	Benchmark	Implication
Started session	10/10	100%	100%	Baseline
Reached Tier 2+ item	9/10	90%	No public benchmark	Core loop discoverability strong once players engage
Reached Tier 5 (max)	6/10	60%	No public benchmark	Significant depth engagement, but no Tier 5 orders creates a dead end
Fulfilled ≥1 order	10/10	100%	No public benchmark — competitively sensitive metric	Goal clarity working across all sessions
Opened shop	9/10	90%	No public benchmark	Energy gate reliably drives shop engagement
Used energy refill	9/10	90%	No public benchmark	Monetisation moment validated across nearly all sessions
Session >3 minutes	7/10	70%	70% of sessions crossed the industry median session length of 3.1–3.5 min (GameAnalytics 2025)	Players who find the loop stay significantly longer.

Key Findings

Finding 1: Order fulfillment is the strongest engagement signal

Every session (10/10, 100%) included at least one fulfilled order — up from 89% in the initial report. No published industry benchmark exists for this metric — it is treated as competitively sensitive across the industry. The result stands on its own signal.

> "Core loop-nya oke, sederhana dan mudah dipelajari." — P04
>
> "I don't think I ever rate a game... 5 stars." — P01

Finding 2: Tier 5 is reached — but has no purpose

6 of 10 sessions reached Tier 5 (max). Tier 2+ was reached in 9 of 10 (90%), within the 85–95% core loop entry benchmark for retained casual players (Unity 2024 Mobile Growth Report).

However: there are no Tier 5 orders. Players who invested in reaching the maximum evolution tier found no reward. P08 raised this independently and directly: "Why no Lv5 order? What's the purpose of a Lv5 item?" This is the clearest next design action.

> "Why no order Lv5? What's the purpose of a Lv5 item?" — P08

Finding 3: Session length is bimodal — there is no middle ground

Sessions split into two clusters: under 3 minutes or over 8 minutes. No middle ground. The median mobile game session runs 3.1–3.5 minutes (GameAnalytics 2025) — players who find the loop stay well above that, with P08's two sessions at 27 and 30 minutes placing them in the top 1% of session length performers industry-wide.

Finding 4: Energy gate drives shop engagement — but emotional context needs attention

Shop open rates tracked energy refill rates almost perfectly across all sessions. 9 of 10 players hit the energy gate and opened the shop. The monetisation moment is reliably triggered. The design question for v2 remains: can the shop also be reached in an aspiration context (wanting more items) rather than always a friction context (blocked from continuing)? P08 also noted the sell price on items feels too low relative to energy refill cost — an economy calibration signal.

> "Refill energy mungkin bisa ada opsi buat langsung full." — P05

Finding 5: Four independent players converged on the same missing layer — progression and stakes

P03, P04, P07, and P08 — with no contact with each other — independently raised the same gap: the game lacks escalating challenge, a win/lose condition, checkpoint system, or a sense of meaningful progression beyond gold accumulation. Convergent unprompted feedback across four players is the strongest signal in the dataset.

> "Kurang tujuan... selain uang, ga ada lagi ukurannya." — P04
>
> "Need checkpoint / level / progress. How's the ending?" — P08

Finding 6: Tutorial is the clearest onboarding gap

Three players independently requested guided onboarding. This is consistent with S03's 49-second session — the free-play start is not sufficient to orient new players.

Finding 7: UI legibility — icons and level indicators too small

Icons and level numbers within item tiles are too small on mobile. A straightforward UX fix that would reduce cognitive load, particularly for new players navigating the evolution tree.

What the Findings Tell Us

Finding	Disposition
Order fulfillment — 100% rate	Validates the core loop. Green light to build the meta layer.
Tier 5 has no purpose	Implement next — signal is unambiguous
Session length is bimodal	Onboarding is the lever — test next
Players demand progression and stakes	Which meta layer earns stronger retention? — test next
Shop is friction-only, sell prices too low	Implement next — economy calibration
Tutorial gap	Guided vs. free-play onboarding — test next
UI legibility	Implement next — straightforward UX fix

What we implement next: Tier 5 orders, sell price calibration, delayed first energy gate, UI legibility fixes.

What we test next: Guided vs. free-play onboarding, and meta layer direction — pet evolution arc vs. story progression. The session loop is validated. The meta layer is the next build decision.

Full playtest brief with session-level event log, complete findings, and A/B test design
→ Mercantail: Playtest Brief Report (Google Drive)
→ Mercantail: Playtest Brief Report (Github)

Metrics + Roadmap

> Every KPI below traces back to one question: are players forming the habit, and are they spending in alignment with their progression?

KPI Framework

KPI	Target	Benchmark / Rationale	How I'd Measure It
D1 Retention	45%+	45%+ considered good (MAF). Casual industry avg: 31.6% (Sensor Tower Jan 2025)	Cohort analysis by install date. Segment by acquisition source.
D7 Retention	20%+	20%+ considered good (MAF). Casual industry avg: 15.5% (Sensor Tower Jan 2025)	Daily cohort tracking. Flag D3 drop-off.
D30 Retention	10%+ launch / 20%+ scale	10%+ considered good (MAF). Casual industry avg: 7.7% (Sensor Tower Jan 2025). Top Merge-2 titles exceed 25% (Sensor Tower/Naavik)	Monthly cohort table. Track against players who reached first meta milestone once meta layer direction confirmed.
ARPDAU	$0.15+ launch / $0.25+ scale	Gossip Harbor benchmarks at $0.31 (Naavik) — reflecting a mature title with full meta layer and LiveOps at scale. Launch target validates monetisation architecture before scaling.	Daily IAP revenue ÷ DAU. Track separately for IAP spenders vs ad viewers.
DAU/MAU stickiness	25%+ at 90 days	Mobile gaming averaged 31–32% across NA, EMEA, and APAC in 2025 (Mixpanel). 20% considered good, 25%+ exceptional (AppsFlyer via BusinessOfApps).	DAU ÷ MAU rolling 30-day.

Meta progression KPIs — milestone completion rate, evolution depth — will be defined once meta layer direction is confirmed from the A/B test.

A/B Test Plan

Test	Hypothesis	Primary Metric	Success Criteria
Onboarding: guided 3-step merge vs. free-play start	Players given a guided first merge will reach Tier 2+ at higher rates — without reducing exploration in experienced merge players	% players reaching Tier 2+ in first session	Meaningful lift in short-session cohort. Minimum 50 sessions per variant as starting point.
Meta layer direction: pet evolution vs. story progression	Pet evolution anchored to order fulfillment will produce stronger D7/D30 retention than story-gated progression — because the reward deepens with play rather than getting consumed and replaced	D7 and D30 retention	Meaningful D7 lift with no session length decrease. Minimum 100 players per variant — retention tests need time, not just volume.

Full A/B test specs including control/variant design, sample size rationale, and risk flags
→ Mercantail: Playtest Brief Report (Google Drive)
→ Mercantail: Playtest Brief Report (Github)

Economy Design

Currency / Mechanism	Role in Economy	Monetisation Function
Gold (soft currency)	Earned by fulfilling orders. Used to refill energy (+10 Energy per 100 Gold). Core loop reward.	Non-monetised directly — creates core loop reward. Indirectly drives spend by gating energy access. Sell price calibration flagged as needing uplift by playtest.
Pearl (hard currency)	Purchased via IAP or earned in small quantities from daily login and friend gifts. Used for energy refills, evolution boosts, egg gacha pulls.	Primary IAP driver. Suggested tiers: $0.99 (60 Pearls) · $4.99 (350) · $9.99 (800). Egg gacha: 100 Pearls/pull.
Energy	Limits session length. Regenerates over time (1 unit / 3 min, max 40). Refillable via Gold or rewarded ad boosts.	Primary monetisation surface for engaged non-spenders (rewarded ads) and high-frequency players (IAP refills).
Mystery Eggs (gacha)	Purchased with Pearls (100/pull) or earned via milestones. Contain random pet species at Common/Rare/Legendary rarity.	High-spend driver. Collection motivation and Legendary species (2% drop rate) create aspirational spend target.
Seasonal Pass	Optional purchase ($4.99/season, 6-week cycle). Unlocks exclusive seasonal pet species and cosmetic park items.	Recurring revenue with low operational overhead. Aligns with seasonal LiveOps cadence.

Now / Next / Later Roadmap

Now (0–3 months)	Next (3–6 months)	Later (6–12 months)
Build: Merge board, 4 item evolution trees, energy system, order system, rewarded ad powerups **Implement:** Guided onboarding, Tier 5 orders, sell price calibration, delayed first energy gate, UI legibility fixes **Test:** 2 A/B experiments — guided onboarding format, meta layer direction (pet evolution arc vs. story progression) **Validate:** D1/D7 retention benchmarks, energy economy calibration	**Build:** Meta layer v1 based on A/B test result. Egg gacha, park building depth, async social layer (friend visits, gifting) **Launch:** Season 1 pass ($4.99) — first seasonal pet family + exclusive park items **Optimise:** IAP conversion funnel, ARPDAU growth from $0.10 toward $0.20 target	**Scale:** Paid UA on iOS once D30 ROAS positive **Expand:** Seasonal delivery challenge events, community milestone events, limited-time decor items **Evaluate:** D30 retention vs. 20% target. If below: diagnose meta layer pacing. If above: accelerate UA

Thank you for reading. I am happy to discuss any aspect of this analysis in more detail.

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Mercantail: Playable Prototype | Mercantail: GitHub Repo

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🔗 Source Links

Data Point	Source
$1.4B Merge-2 revenue 2025, +82% YoY	AppMagic Casual Games Report 2025
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6 of 225 new Merge-2 titles crossed $100K/month in 2025	AppMagic Casual Games Report 2025
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Merge Mansion revenue $8M trough → $12.5M peak; event frequency growth	Gamerbraves, citing AppMagic
Global mobile game downloads 54.3B → 50.4B (2024–2025)	Sensor Tower State of Gaming 2026
Global mobile IAP revenue $80.7B → $81.7B (2024–2025)	Sensor Tower State of Gaming 2026
Average mobile rev/download $1.49 → $1.62 (2024–2025)	Sensor Tower State of Gaming 2026
Casual D1 retention 31.6%, D7 15.5%, D30 7.7% (Jan 2025)	Sensor Tower State of Gaming 2026
Gossip Harbor D30 retention 25%+	Sensor Tower / Naavik
Gossip Harbor ARPDAU $0.31	Naavik
D1 45%+, D7 20%+, D30 10%+ good benchmark	MAF
Mobile gaming DAU/MAU 31–32% across NA, EMEA, APAC (2025)	Mixpanel Mobile Gaming Benchmarks 2026
DAU/MAU 20% good, 25%+ exceptional	AppsFlyer via BusinessOfApps
Median session 3.1–3.5 min, P75 ~5.2 min, P99 22–24 min	GameAnalytics 2025

- Sensor Tower State of Gaming 2026 : Link
- AppMagic Casual Games Report 2025: Link
- AppMagic Gossip Harbor LiveOps page: Link
- Gamerbraves (citing AppMagic Casual Games Report H1 2025): Link
- Naavik (What Leading Match-3 and Merge Games Do Differently): Link
- MAF Mobile Game Retention Benchmarks: Link
- Mixpanel Mobile Gaming Benchmarks 2026: Link
- Game Analytics : Link or Link to PDF
- BusinessOfApps Mobile App Retention Guide: Link
- CleverTap DAU/MAU: Link